

The transition to a sustainable economy is not sustainable: an ecological macroeconomic analysis of climate policy, the circular economy, and global inequality

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*ABSTRACT***Introduction**

The transition to sustainability is nowadays understood to go beyond the energy transition, requiring the adoption of circular-economy (CE) strategies that seek to reduce material throughput, as well as emissions, increasing efficiency in resource use (Geissdoerfer et al., 2017; Korhonen et al., 2018). In recent years, the global policy landscape has begun to shift from high-level "roadmaps" to legally binding regulations and sector-specific enforcement (Barrie et al. 2024). Results from most academic studies, conducting ex-ante analysis, have projected positive environmental and socio-economic impacts of the adoption of CE strategies, specially, at the national or regional level (Agullar-Hernandez et al., 2018, and Fevereiro et al., 2025).

Yet, the effects of circular transition cannot be assessed only in the country where policy is legislated. This is because supply chains, trade relations, and financial hierarchies connect countries and regions asymmetrically. This implies that policies designed for green production and consumption in advanced economies may reallocate costs, demand pressures, and ecological burdens across countries rather than resolve them globally (Wiedmann et al., 2015; Dorninger et al., 2021). Moreover, recent research suggests that circularity and decarbonisation do not necessarily move together, since circular initiatives can generate energy-intensive processes, upstream emission increases, or burden-shifting across supply chains when they are not coordinated with broader net-zero strategies (Arranz et al., 2026).

Circular transitions occur within a global economy that is characterised by unequal ecological exchange, persistent structural asymmetries, and monetary and financial constraints (Hornborg, 2009; Hickel et al., 2022). The literature on ecologically unequal exchange shows that environmental improvements in high-income economies are typically associated with the

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externalisation of extraction, energy use, labour, and waste-intensive production through trade and global value chains (Wiedmann et al., 2015; Dorninger et al., 2021). This implies that CE policies cannot be assessed only using domestic indicators of efficiency or decarbonisation. Ecological gains in the centre might actually rely on the continued ecological appropriation of labour, land, energy, and materials from the periphery (Lenzen et al., 2012; Hickel et al., 2022). Additionally, research on degrowth and global dependency indicates that ecological transition is driven by a “twin problem”. That is the material excesses of the Global North make transformation necessary, while North–South dependencies constrain the policy space and development opportunities of the Global South (Gräbner-Radkowsch and Strunk, 2023; Hickel, 2020).

In this context, ecological macroeconomic modelling offers a complementary perspective: climate policies introduced in the centre may generate contractionary pressures, external imbalances, and financial instability in the periphery, especially when policy coordination is weak and structural asymmetries remain unchanged (Althouse et al., 2020; Campiglio et al., 2018). For example, Fevereiro and Lowe (2025) show that different types of green transition strategies in the Global North lead to lower GDP and employment and worsening trade balances in the Global South under existing patterns of specialisation. Furthermore, the current international monetary and financial system limits the ability of many countries in the Global South to absorb shocks, sustain green investment, or pursue autonomous transition strategies, even where “green” finance is available (Svartzman and Althouse, 2020; Volz et al., 2015).

Yet circular-economy policy is often analyzed from technical or managerial perspectives that emphasize recycling, efficiency, product-life extension, or demand shifts (Kirchherr et al., 2017; Geissdoerfer et al., 2017). Less attention is paid to the structural relations through which environmental benefits and socio-economic costs are distributed internationally, and to the fact that different CE channels do not have the same macroeconomic or ecological effects. We argue that the question is not whether circular-economy practices reduce emissions or material extraction, but under what conditions they do so, for whom, through which demand and production channels, and with what distributional consequences across regions. Specifically, the effectiveness of circular economy policies is contingent on whether they operate through final demand, intermediate production, or investment dynamics — a channel-based distinction that existing open-economy CE analyses have not systematically pursued.

We address this gap through a two-region ecological macroeconomic model combining multi-regional input–output structure and stock–flow consistent dynamics, calibrated for the European Union and the Rest of the World using EXIOBASE 2011 data and 54 industries covering eight basic materials — food, energy, wood, plastics, pulp, glass, cement, and construction — each disaggregated into a primary (virgin, resource-intensive) and a secondary (resource-efficient) production sector. We simulate 14 circular economy transition scenarios, each targeting a different primary-to-secondary substitution pathway and varying systematically

by demand channel (final demand, intermediate production, investment) and institutional actor (households, government, firms).

This paper contributes to the ecological economics literature in three ways. First, it integrates circular-economy analysis with ecological macroeconomics in an open-economy, multi-regional framework. Second, it introduces a channel-based perspective that distinguishes between final-demand, intermediate-production, and investment-driven transition pathways. Third, it demonstrates that circular-economy policies generate systematic transnational trade-offs structurally embedded in the global production system. The findings suggest that an effective and just transition requires channel-specific, coordinated policy that simultaneously addresses circularity, decarbonisation, and the international asymmetries through which ecological costs are displaced

Macroeconomic Modeling

In this section we provide a conceptual overview of the main characteristics of the different modules of the model². The analysis relies on a dynamic, ecological, multi-regional input-output, stock-flow consistent (IO-SFC) model calibrated on empirical Input-Output data (Exiobase 3). The model is designed to reproduce the evolution of an interconnected macro-financial-ecological system and to test the implications of alternative circular-economy (CE) trajectories.

Several features are worth highlighting.

1. The model operates in discrete time and captures how system-level behaviour emerges from the interaction of its components, laying emphasis on financial-real interactions.
2. It enforces stock-flow consistency across all sectors, ensuring that every flow has a corresponding change in a stock and that monetary, real, and physical balances hold by construction.
3. The production side is represented through a two-region input-output structure, so all inter-industry linkages - within each region and across regions - are explicitly accounted for.
4. The framework is fully open-economy: the world is divided into two regions (the European Union and the rest of the world), connected through goods trade and cross-border portfolio flows.
5. Ecological relations are endogenised. Emissions, resource extraction, and waste generation are linked directly to production technologies and material flows.
6. Finally, the numerical parameters of the model are anchored in observed data, either drawn directly from existing time series (e.g. technical coefficients) or calibrated to replicate the prevailing levels of key macroeconomic aggregates.

In recent years, several authors (e.g., Hardt and O'Neill 2017; Bimpizas-Pinis et al., 2023; Fevereiro et al., 2025) have identified the combination of input-output (IO) analysis and stock-flow consistent (SFC)

² The full description of the equations of the model is presented in appendix 1.

modelling as one of the most promising approach for developing models assessing the economy-ecology nexus, including Circular Economy (CE) transition scenarios.

As is well known, IO models are analytical tools used to represent and quantify the interdependencies between different industries of a capitalist economy (e.g., Leontief 1936, 1941). More specifically, IO models illustrate how changes in one industry, such as increased production or consumption, affect other industries through a system of interconnected inputs and outputs, providing insights into the overall economic impact of alternative shocks and policies.

On the other hand, SFC models can be considered a specific class of ‘system dynamics’ tools that replicate the dynamics of a financially sophisticated economy (e.g., Godley and Lavoie 2007, Caverzasi and Godin 2015, Nikiforos and Zezza 2017). In the last decade, SFC models have gained traction in ecological macroeconomics too, due to their ability to integrate consistently and comprehensively the flows and stocks of the real economy, the financial sector, and the ecosystem (Dafermos 2017, 2018; Carnevali et al., 2019, 2020, 2023).

Due to the complexity of an integrated approach, only a limited number of studies have so far incorporated explicitly the IO structure of the economy into a SFC dynamic framework (e.g. Berg et al., 2015; Valdecantos and Valentini, 2017; Di Domenico et al., 2024; Thomsen et al., 2025; Jackson and Jackson, 2025; Pettena and Raberto, 2025; Veronese Passarella, 2025). Nevertheless, some progress has been achieved in recent years. In particular, Veronese Passarella (2023) has extended a standard aggregative SFC model by introducing both a vertical disaggregation (across institutional sectors) and a horizontal disaggregation (across production industries), and has used this framework to explore simple circular economy scenarios. Subsequent contributions have further developed this line of research by broadening the scope of application and refining the treatment of inter-industry and cross-border linkages. For instance, Fevereiro et al. (2023) have expanded on Veronese Passarella (2023)’s analysis by applying it to a two-area economy. This extension explicitly considers the effects of international trade, supply-chain interdependencies, cross-border portfolio investments, and exchange rate fluctuations.

Formally, the model consists of accounting identities and behavioural equations relating industries and institutional sectors. These are organised into three blocks: the economic–financial block, the social block, and the ecological block.

Economic and Financial Block

Each region comprises five institutional sectors: households, private firms, government, commercial banks, and the central bank. The institutional structure of the economy is identical in the two regions, and in the baseline no trade or financial restrictions are imposed.

Households earn wages and capital income (distributed profits, interest, and capital gains) and allocate their disposable income across consumption and asset holdings. Consumption is a fixed function of disposable income and wealth, while portfolio allocation follows a Tobin-type mechanism based on relative returns and liquidity preferences. Households may take out personal loans to finance durable consumption or expenditure exceeding current income.

Contrary to a typical SFC model, private firms are disaggregated into 54 productive sectors based on IO data. Unless explicitly affected by change in one of the scenarios tested, firms operate under assumption fixed input proportions (Leontief technology) and constant returns to scale assumption. Industries produce homogeneous outputs and set prices via mark-ups over unit costs, which include intermediate inputs, labour costs and the depreciation of the capital stock. Firms adjust their capital stock toward a target capital–output ratio; this generates investment demand even when output is constant. Investment is financed through retained earnings, bank credit, and the issuance of shares purchased by domestic and foreign households.

Government consumption expenditure - both consumption and public investment - is exogenous. Revenues accrue from income taxes, VAT, import duties, and central-bank profits. Budget deficits are financed through the issuance of government bills. Central banks accommodate the demand for currency and purchase the portion of government debt not absorbed by the private sector. The policy rate set by the central bank determines the interest rates on loans, deposits, and government bills through sector-specific mark-ups.

Commercial banks supply credit elastically: firms receive all the financing they require for production and investment. Deposits exceeding the volume of loans are placed in government bills; if loans exceed deposits, banks borrow from the central bank.

In the CE scenarios, part of the waste stream is diverted to a recycling industry that produces secondary inputs. This is implemented through changes in the relevant input–output coefficients.

Social Block

Although households are modelled as an aggregate sector, the framework tracks the distribution of income and wealth between workers and rentiers, both before and after taxes. This allows the model to assess distributional consequences of alternative CE trajectories.

Employment is determined by industry-specific labour demand. Population dynamics, and thus the size of the labour force, follow exogenous demographic growth and net immigration inflows. Cross-regional migration reacts to population size, unemployment differentials, and wage gaps.

Ecological Block

The ecological sub-model follows recent advances in ecological SFC modelling. Waste generation is tied to industrial production through sector-specific coefficients. In the baseline, waste flows are processed by traditional waste-management industries; in CE scenarios, new recycling/reuse channels are introduced.

Industrial CO₂ emissions depend on the use of non-renewable energy inputs. Emissions are determined by energy-intensity coefficients, the share of non-renewables in each industry's energy mix, and a uniform emissions factor. Accumulated emissions contribute to atmospheric concentrations, which feed into a simplified climate-response module linking cumulative emissions to temperature change.

Material extraction and energy use reflect both new production and the recycling of socio-economic stocks. Renewable energy is replenished periodically, whereas non-renewables are depleted. The size of material and energy reserves evolves according to extraction and conversion flows.

Data Collection and Calibration

Model simulation is carried out in R, using EXIOBASE 3 v 3.8.2, with data calibrated for the baseline year of 2011. The original 164-sector, 49-region classification is aggregated into two regions (EU and rest of world) and 54 sectors, among which 13 sectors specifically produce goods based on re-processed material inputs³.

From EXIOBASE data we derive the technical coefficients, labour productivity, real wages, sectoral employment (including gender composition), final demand structure, emissions coefficients, and material-use data required to initialise the technological and environmental parameters. In turn, macro aggregates such as GDP, final demand components, trade flows, and gross output serve as calibration targets.

Remaining parameters are assigned through an evolutionary random-search routine. The algorithm perturbs an initial set of parameter values, evaluates the resulting steady-state values of key variables against their targets, and accepts parameter updates only when the goodness-of-fit improves. This process continues until a satisfactory baseline is reached, subject to constraints ensuring economically meaningful outcomes⁴. (e.g., propensity to consume out of class of income-hierarchy conditions).

This calibration phase must also stabilize the system so that, at the moment policy shocks are introduced, the model is near a steady configuration: GDP, trade balances, public deficits, sectoral balances, and stock-flow norms must remain stable over time. The resulting calibration yields a good but improvable match to observed data, with consumption slightly overestimated in the EU and investment underestimated in both regions.

Descriptive Statistics: the Multi-Regional Input-Output Structure of Demand

This section documents the complex multi-region input-output (MRIO) structure of demand for eight key material pairs in the EU and Rest of World (RoW), as calibrated in the model at its baseline at $t = 70$. Its purpose is to establish the structural features of demand — channel scale and cross-border trade flows — that directly anticipate the simulation results.

³ A complete list of the sectors is provided in Appendix 2

⁴ For example, following post-keynesian theory, a constraint is introduced to ensure parameters values for the propensity to consume out of wages is higher than out of profit and, in turn, out of wealth.

Demand Structure and Channel Architecture

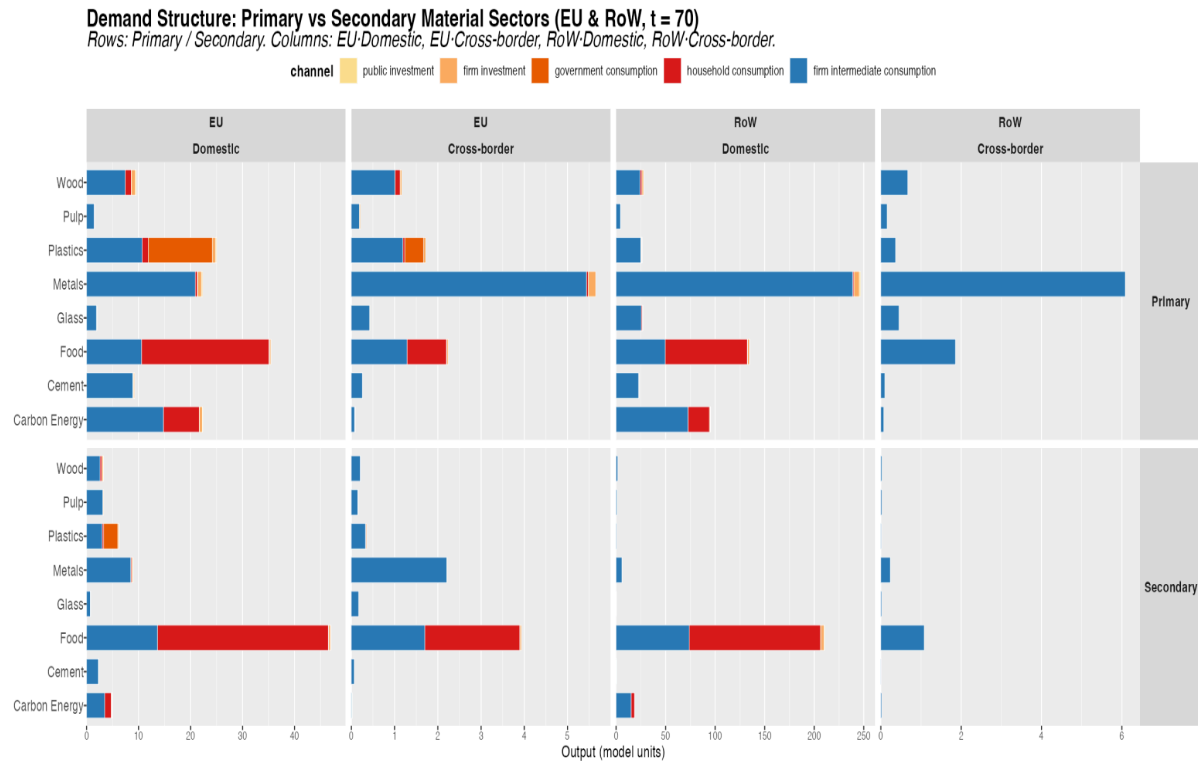
Figure 1 decomposes gross output for all eight material pairs by institutional demand channel (household consumption, government consumption, firm investment, public investment, and firm intermediate consumption) across four regional flow dimensions: EU domestic production for EU demand, EU cross-border imports from RoW, RoW domestic production, and RoW cross-border exports to EU.

Across most industrial materials —metals, cement, glass, pulp, and wood — firm intermediate consumption dominates both domestic production and EU import demand, making production-side restructuring the primary CE instrument for these sectors. These overwhelmingly activated through firm intermediate consumption, accounting for 93–96% of EU gross output. Final demand channels are structurally negligible: demand-side instruments such as eco-labelling or green public procurement operate on a fraction of total material activation and cannot substitute for production-side restructuring. Three sectors diverge from this pattern. Food is the only material where household consumption dominates (65% of EU domestic output), making it the one sector where consumer-facing intervention engages the primary demand channel directly. Energy is structurally intermediate: approximately two-thirds of total demand is driven by industrial intermediate procurement of fossil-fuel electricity, with households accounting for one-third — confirming that industrial energy procurement, not consumer behaviour, is the primary driver of fossil-fuel electricity demand. Plastics is analytically exceptional: while approximately 55% of output serves final demand, this component is dominated by government consumption rather than households, making circular public procurement the primary demand-side CE instrument for this material.

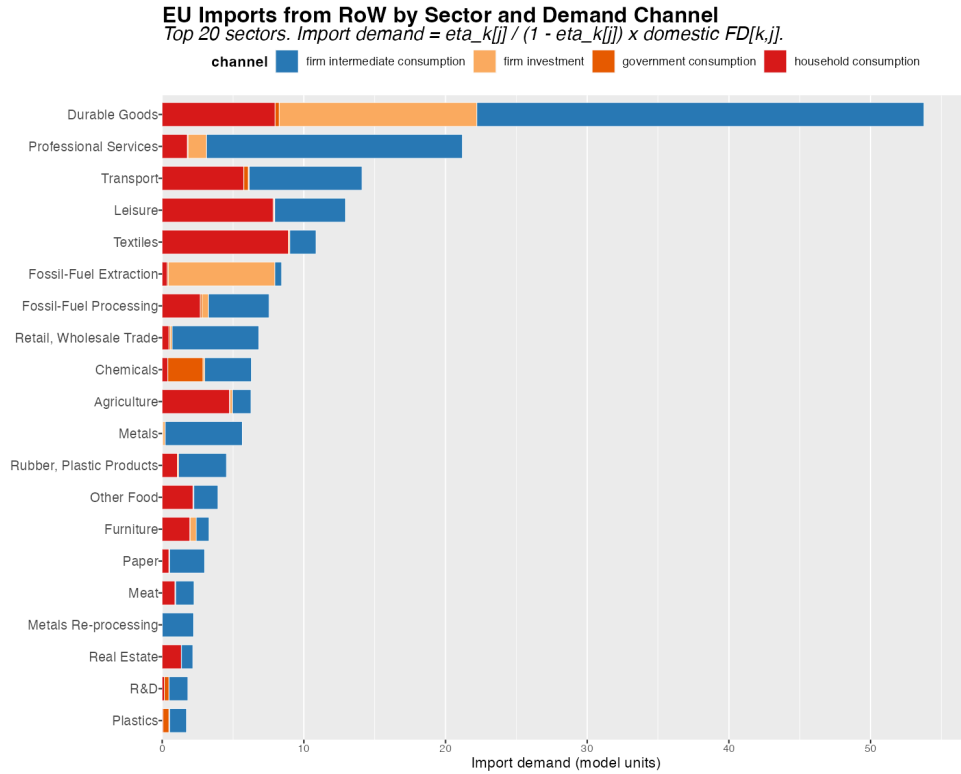
Cross-Border Trade Structure and Transmission Channels

Figure 2 maps EU import demand from RoW by sector and institutional channel — the figure most directly relevant to the paper's cross-regional argument. Firm intermediate consumption dominates EU imports across most high-import sectors. For energy and manufactured goods, cross-border purchases are overwhelmingly industrial inputs rather than consumer goods, implying that CE policies targeting intermediate production substitution have the largest potential to simultaneously reduce import dependency and domestic primary material use. Fossil fuels and carbon energy rank among the highest-import sectors, reflecting the EU's structural dependence on imported fossil-fuel inputs — the channel through which energy CE transitions generate the largest current-account improvements and the most asymmetric RoW burdens. For food and plastics, the secondary sector's higher import content means that EU substitution can generate partial production leakage: CE transitions in these sectors improve the EU's material intensity while generating small positive demand spillovers to RoW suppliers. The ranking of sectors by total import demand directly anticipates which CE transitions generate the largest trade-balance improvements in the dynamic simulations.

EU import demand is concentrated in firm intermediate purchases of fossil energy and industrial materials sourced from the Rest of the World, establishing the cross-border transmission channels through which CE transitions propagate employment, trade-balance, and ecological effects across regions. Further, full supply-chain accounting reveals that fossil-fuel extraction and processing dominate the upstream input requirements of primary energy, while metals carries the largest aggregate upstream footprint across all material sectors — which explains why the metals CE scenario generates a carbon emission rebound rather than savings, as secondary steel production is more carbon emission intensive.



Note: Gross output decomposition for primary and secondary material sectors across EU and RoW. Columns: EU Domestic, EU Cross-border, RoW Domestic, RoW Cross-border demand. Rows: Primary vs Secondary. Bars stacked by institutional demand channel.



Note: EU import demand from RoW decomposed by sector and demand channel. Includes firm intermediate consumption, household consumption, government consumption, and firm investment. Top 20 sectors by total import demand.

Scenario Design

By combining ecological and input-output extensions with a macro-financial open-economy framework, the model allows us to analyse circular-economy scenarios as structurally differentiated demand transition regimes rather than isolated technical shocks. Specifically, we compare how sector-level changes in final demand, intermediate production, and sectoral expansion affect value added, employment, income distribution, fiscal and current-account balances, emissions, and material extraction domestically and across borders. In doing so, we examine how circular-economy policies generate transnational socio-ecological trade-offs and cross-regional macro-financial asymmetries.

We apply the model to analyse fourteen circular economy scenarios, each redirecting a share of primary material demand toward secondary alternatives across specific demand channels identified in the MRIO structure

Scenario Analysis

Overview

First, there is no single CE transition regime but a set of demand channel- and sector-specific outcomes, as the magnitude of ecological and macroeconomic effects is determined by the size and composition of the demand channel targeted. Household food transitions produce the largest final-demand employment contraction and meaningful material savings, reflecting one third of household share in food demand. Household energy transitions deliver strong emission reductions disproportionate to their one-third channel share, amplified by the 3.3:1 emission intensity differential between fossil and renewable electricity. In contrast, government procurement constitutes a key policy lever for plastics due to its unusually large demand share.

Second, intermediate production restructuring delivers stronger ecological gains — energy is the highest-leverage scenario in emissions and primary material extraction, reflecting the combination of large intermediate demand and a high emission intensity differential — but at a structural macroeconomic cost. Because secondary sectors require fewer intermediate inputs per unit of output than their primary counterparts, the very substitution that reduces material intensity also contracts overall output. Energy restructuring is the highest-leverage scenario in emissions and primary material extraction (reflecting the combination of large intermediate demand and a high emission intensity differential between fossil and renewable energy), it also contracts economic output, compresses the wage share of income, and more land-intensive renewable infrastructure increases land use. Metals is the notable exception: the only production scenario to expand output and employment while delivering the largest material savings, yet it generates a structural emissions rebound through the higher fossil-electricity intensity of secondary steel production.

Third, most CE scenarios are distributionally regressive: because profit margins are maintained via mark-up pricing while output contracts, the contraction falls disproportionately on the wage bill. This pattern takes a distinct form in construction, where rising energy costs compress the labour income share even as employment is modestly positive — and where, uniquely, circular production reduces material throughput while sharply increasing emissions, reflecting the high fossil-energy intensity of secondary construction processes under current technological conditions.

A cross-cutting finding, visible only in the MRIO framework, is that every scenario in which the EU achieves ecological gains does so partly by displacing demand from the Rest of the World. Four distinct cross-border transmission patterns emerge. Symmetric material contraction — the most common pattern across intermediate scenarios for wood, pulp, glass, and cement — reduces material throughput in both regions simultaneously, as EU restructuring contracts global intermediate demand rather than shifting production abroad. Competitive displacement occurs in the metals scenario: the lower intermediate input requirements of secondary steel generate a net

EU expansion while RoW primary metal producers contract. Fossil-import collapse — the most asymmetric pattern — occurs in the energy scenario: the EU gains a current-account dividend as fossil imports collapse, while RoW fossil exporters face worsening fiscal positions and rising public debt, alongside the sharpest wage share compression within the EU. Partial production leakage in plastics and food runs in the opposite direction: because secondary sectors carry higher import content, EU substitution generates small positive RoW employment effects while worsening the EU current account. These transnational trade-offs are structurally embedded in the global production system and invisible to single-region frameworks.

Across the full set of scenarios, the results show a key structural pattern –only visible in the MRIO framework– that circular-economy transitions are characterised by transnational socio-ecological trade-offs as the EU achieves ecological gains does so partly by displacing demand from the Rest of the World. Ecological improvements, macroeconomic performance, and distributional outcomes do not move together automatically. In particular, high-leverage transitions, such as energy and metals, generate asymmetric cross-regional effects, including shifts in employment, external balances, and fiscal positions between the EU and the rest of the world.

Four distinct cross-border transmission patterns emerge.

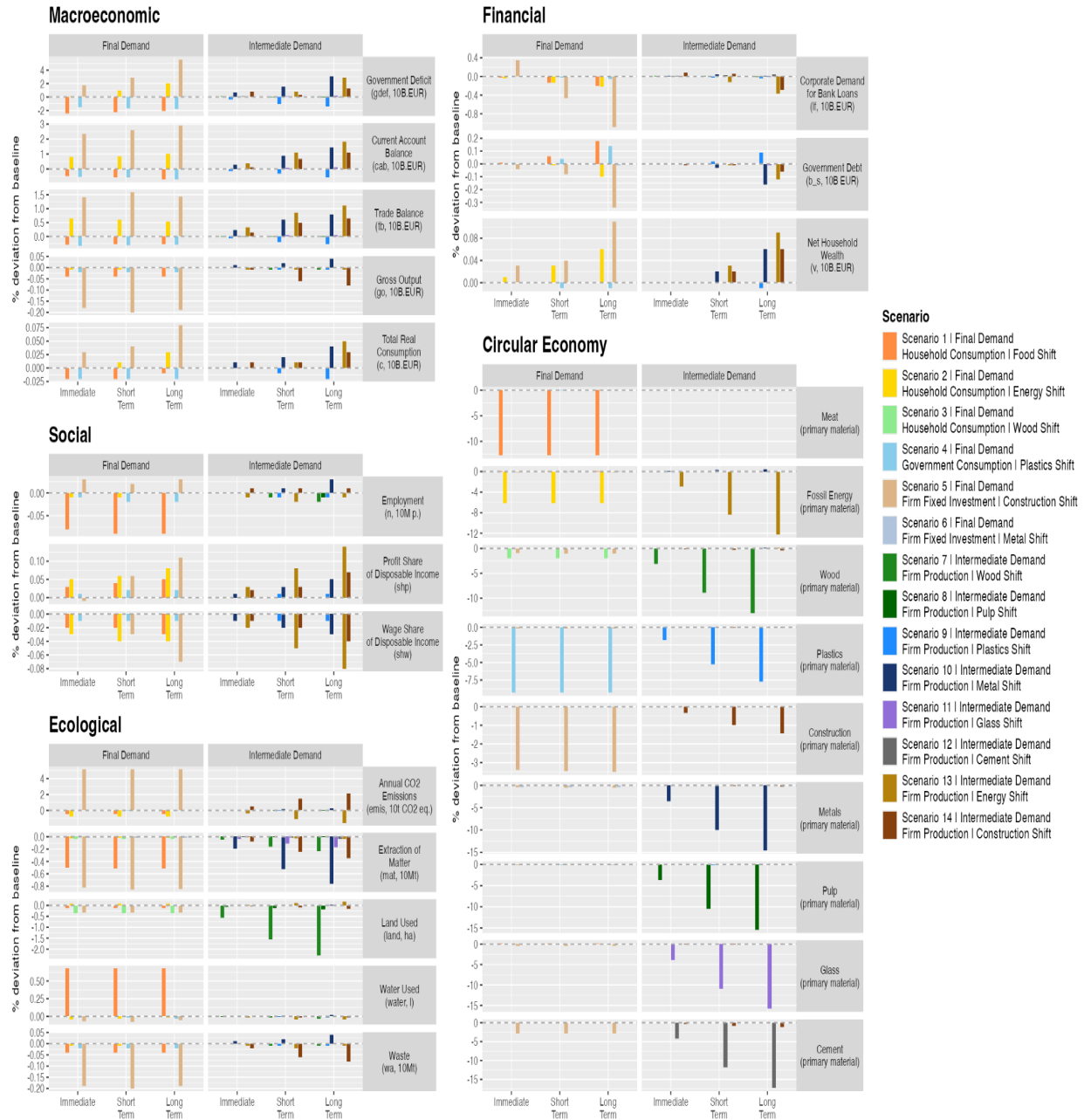
- Symmetric material contraction — the most common pattern across intermediate scenarios for wood, pulp, glass, and cement — reduces material throughput, output, and employment modestly in both regions simultaneously, as EU restructuring contracts global intermediate demand rather than simply shifting production abroad.
- Competitive displacement occurs in the metals scenario, where the lower intermediate input requirements of secondary steel production generate a net EU expansion in output and employment and a current-account improvement, while RoW primary metal producers contract.
- Fossil-import collapse — the most asymmetric pattern — occurs in the energy scenario: the EU gains a current-account dividend and falling public debt as fossil imports collapse, while RoW fossil exporters face worsening government deficits and rising public debt, alongside the sharpest compression of the wage share within the EU.
- Finally, partial production leakage in plastics and food runs in the opposite direction: because secondary sectors carry higher import content, EU substitution generates small positive RoW employment effects while worsening the EU current account, and in the plastics case produces a measurable cross-border emission leakage.

These transnational trade-offs are structurally embedded in the global production system and invisible to single-region frameworks.

Scenario Registry

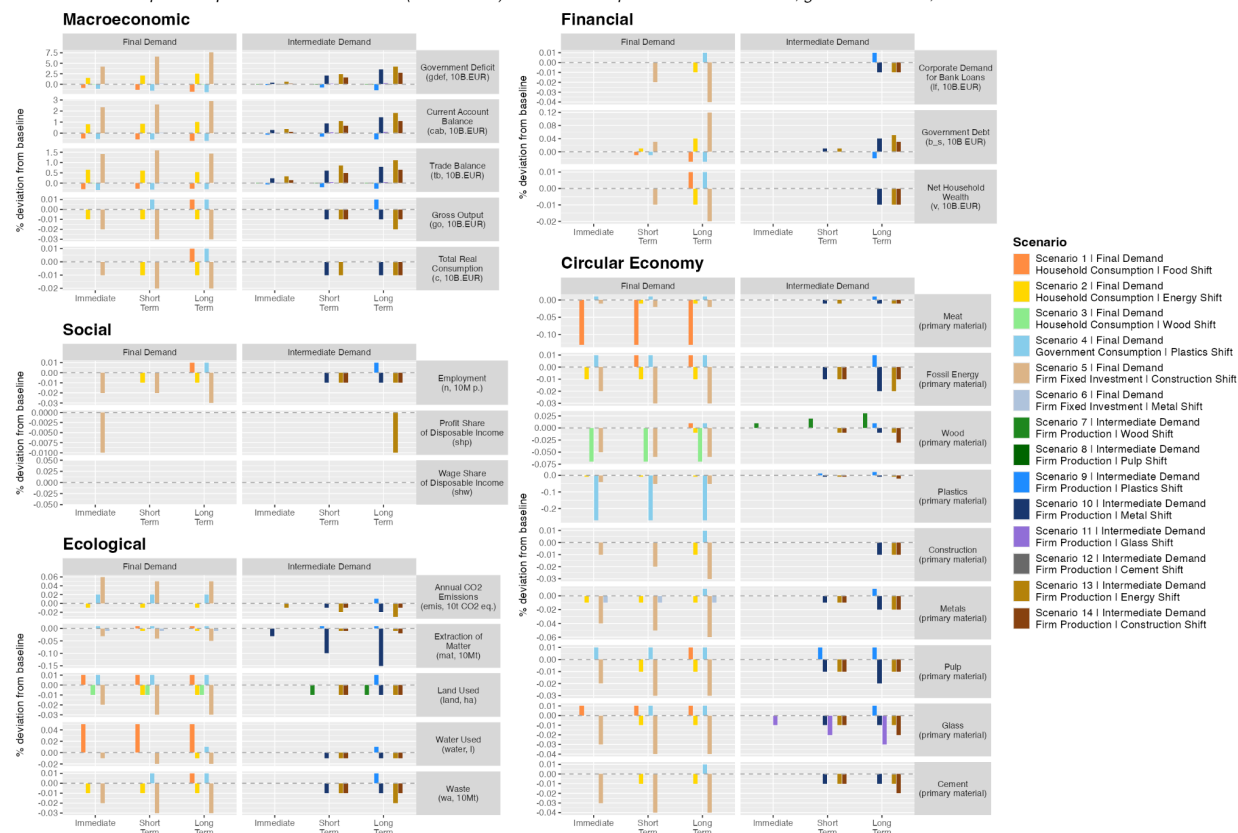
Circular Economy Intervention Comparison | Domestic Effects | EU

Shock Parameter $p = 0.2$ | $p = 0.05$ for Construction (Sc5 & Sc14) | All flows except household net wealth, government debt, and loans | % deviation from baseline



Circular Economy Intervention Comparison | Cross-Border Effects | RoW

Shock Parameter $\rho = 0.2$ | $\rho = 0.05$ for Construction (Sc5 & Sc14) | All flows except household net wealth, government debt, and loans | % deviation from baseline



(cross-border) effects.

The comparison figures present all 14 scenarios simultaneously across three time horizons: Immediate ($t+1$), Short-Term ($t+7$), and Long-Term ($t+20$). The integrated figure (08/09) organises variables into five categories across two columns: Macroeconomic, Social, and Ecological on the left; Financial and Circular Economy sector outputs on the right. Separate figures are produced for EU (domestic) and RoW

The Demand Scale Principle

The most robust finding across all 14 scenarios is that the rank ordering of outcomes is predicted by the absolute scale of the targeted demand channel, not by material-specific multiplier variation or sectoral intensity alone. The structural Leontief factor ($l_{12} - l_{11}$) is approximately -1 across all material sectors, meaning that primary-to-secondary substitution consistently contracts aggregate demand in proportion to channel size. What varies decisively across scenarios is the size of the demand portfolio the policy instrument engages. This generates a clear ranking:

- **Food (Sc1)** produces the largest final-demand employment contraction ($Z1_n = -0.09\%$ LT) because household food demand (23.7 B EUR) is the largest household material channel. It also drives the largest primary material extraction reduction among FD scenarios ($Z1_{x_mat} = -0.30\%$), despite modest emission savings (-0.42%), because the food sector is more material-intensive than emissions-intensive.

- **Household energy (Sc2)** produces strong emission and primary material savings ($Z1\text{ emis} = -0.78\%$, $Z1\text{ x_mat} = -0.64\%$) disproportionate to its channel size (6.9 B EUR) because the 3.3:1 fossil-to-renewable intensity differential amplifies the scale effect on both emission and primary energy extraction.
- **Government plastics (Sc4)** has disproportionate leverage among FD scenarios because the government procurement channel (11.9 B EUR) rivals the intermediate channel in absolute scale — unique among all materials. However, the material effect is ambiguous: EU total material use barely changes ($+0.01\%$) while primary extraction falls only -0.04% , reflecting small primary–secondary intensity gaps for plastics.
- **Energy production (Sc13)** dominates all production scenarios: $Z1\text{ x_mat} = -1.27\%$ LT (the largest primary material extraction reduction in the entire set), driven by the combination of the largest intermediate channel (14.8 B EUR) and the 3.3:1 intensity differential. Total material use ($Z1\text{ mat} = -0.04\%$) moves little because energy restructuring primarily displaces fossil fuel use (captured in x_mat) rather than bulk material throughput.
- **Metals production (Sc10)** produces the largest total material savings ($Z1\text{ mat} = -0.76\%$ LT) because intermediate metal demand (20.9 B EUR) is the largest single intermediate material flow in the scenario set. The A-matrix row-sum of secondary metals (0.238) is less than half that of primary metals (0.545), amplifying material throughput reductions across the supply chain.

The simulation ranking therefore validates the demand channel decomposition: before running the model, relative outcome magnitudes can be predicted from channel scale $\times$ intensity differential with reasonable accuracy.

Two Transition Regimes

The 14 scenarios separate into two regimes distinguished by ecological leverage and macroeconomic direction.

Final-demand reallocation (Scenarios 1–6) is not a uniformly low-leverage regime. This characterisation — common in single-region IO analysis — understates the scale of several channels once bilateral MRIO demand flows are included. Scenario 1 (Food, HH) produces the largest employment contraction among FD scenarios ($Z1\text{ n} = -0.09\%$ LT) because food demand (23.7 B EUR) is the dominant household material channel. Scenario 2 (Energy, HH) generates ecological gains ($\text{emis} = -0.78\%$, $\text{x_mat} = -0.64\%$) disproportionate to its channel size because the 3.3:1 intensity differential amplifies scale into emission and primary material extraction reduction. Scenario 4 (Gov Plastics) is structurally distinctive: government procurement accounts for 48.9% of plastics demand (11.9 B EUR), making public procurement circularity mandates a genuine first-order CE instrument for this material. Scenario 5 (Construction FD) activates a large fixed-investment channel (88.7 B EUR of total construction demand) and is the only FD scenario producing a positive employment effect ($+0.03\%$ LT) because renovation is more labour-intensive than new build. Final-demand CE instruments engage channels that are structurally primary for food, construction, and plastics, and cannot be treated as merely symbolic complements to production-side policy.

Intermediate production restructuring (Scenarios 7–13) delivers substantially higher ecological gains at the cost of modest macroeconomic and social contractions. Production scenarios consistently produce larger material savings than their FD counterparts for the same material, in proportion to the intermediate channel's dominance. Employment effects are negative (−0.01% to −0.02% LT) across all intermediate production scenarios except Sc10 (Metals), and wage shares are marginally compressed in the most intensive scenarios (Sc13). The production restructuring regime confirms the core IO insight: where intermediate demand dominates sector activation, A-matrix interventions are the primary CE instrument.

The Circular Economy Trilemma

The cross-cutting finding is a structural trilemma: ecological improvement trades off against macroeconomic stability and distributional equity in the intermediate production scenarios, while the construction scenarios produce a second, ecological-internal tension between material savings and emission rebound.

Scenario 4 vs Scenario 9 (Plastics) demonstrates that the trilemma can be partially bypassed through public procurement. For plastics — uniquely among all materials — government consumption (48.9%, 11.9 B EUR) rivals intermediate demand (44.0%, 10.7 B EUR) in absolute scale, making the two channels complementary rather than hierarchical. Neither scenario alone captures a majority of total plastics demand; effective plastics CE policy requires both instruments simultaneously.

Scenario 10 (Metals) is the most analytically anomalous outcome. It is the only production scenario showing expansionary macroeconomic effects ($Z1_{go} = +0.04\%$, $n = +0.03\%$ LT), driven by the lower A-matrix row-sum of secondary metals (0.238 vs 0.545): substituting secondary for primary frees EU intermediate resources economy-wide and generates a competitive dividend. Simultaneously, emissions increase (+0.27% LT) — the clearest structural rebound in the set. The mechanism is precisely identified: secondary metal production (EAF scrap-based steel) is more electricity-intensive upstream than primary production (blast furnace), and the high fossil emission intensity amplifies this into an EU emission increase even as material throughput falls strongly ($Z1_{mat} = -0.76\%$). Metals CE satisfies the economic arm of the trilemma while failing the ecological arm and requires complementary electricity decarbonisation.

Scenario 13 (Energy) represents maximum leverage and maximum asymmetry simultaneously. Ecological gains are the largest in the set ($emis = -1.56\%$, $x_{mat} = -1.27\%$ LT), and the current account improvement (+1.81%) reflects reduced EU fossil import dependency. But the scenario is distributionally regressive (wage share −0.08%, profit share +0.14%) and produces the largest cross-border burdens on RoW energy exporters ($Z2_{b_s}$ rises, $Z2_n = -0.01\%$). The land use implication is notable: despite saving the most emissions, EU land use increases slightly (+0.16% LT) because renewable electricity infrastructure (wind and solar) requires substantially more land per unit of output than centralised fossil power plants. EU energy CE is the highest-leverage domestic CE intervention while simultaneously the most asymmetric in its international consequences.

Construction scenarios (Sc5, Sc14) define a third internal tension: material use falls (−0.84% and −0.35% LT respectively) while emissions, land use, and water use all rebound sharply (+5.19% and +2.15%). Renovation/refurbishment is more energy-intensive per unit of output than new construction in the current

A-matrix, meaning the circular reallocation displaces primary material throughput but increases upstream fossil energy demand. The ecological trilemma here is not social vs. ecological but rather material vs. atmospheric: circular construction saves physical material but worsens the emission, land, and water footprint unless accompanied by concurrent renovation energy standards and electricity decarbonisation.

Cross-Border Transmission: Material Flows and RoW Consequences

A key contribution of the MRIO-SFC framework is tracing bilateral demand flows between EU (Z1) and RoW (Z2), making the cross-border consequences of CE policy directly visible. The table below reports long-term RoW material use deviations:

RoW long-term % deviation from baseline — material use

	Sc 1	Sc2	Sc 3	Sc 4	Sc5	Sc6	Sc 7	Sc 8	Sc 9	Sc1 0	Sc1 1	Sc1 2	Sc1 3	Sc1 4
RoW total material use	0.0 1	-0.0 1	0	0.0 1	-0.0 5	-0.0 1	0	0	0.0 1	-0.1 5	0	0	-0.0 1	-0.0 2
RoW primary material extraction	0.0 1	-0.0 3	0	0.0 0	-0.0 5	0.0 0	0	0	0.0 0	-0.1 0	0	0	-0.0 5	-0.0 2

Four distinct cross-border transmission patterns emerge across the 14 scenarios.

Symmetric material contraction (most intermediate production scenarios). Scenarios 7–9, 11–12 produce broadly parallel reductions in material use in both Z1 and Z2, reflecting the global IO linkages through which EU production restructuring reduces demand for RoW intermediate inputs. The effects are small in absolute terms (Z2 mat near zero in most cases) but consistently negative: EU circular restructuring does not simply displace material throughput to the RoW — it reduces it globally. These scenarios are not unilaterally regressive on material grounds.

Metals (Sc10): the largest RoW material contraction. The most substantial cross-border material impact occurs in Scenario 10: Z2 total material use falls –0.15% LT and Z2 primary material extraction falls –0.10% LT. This is the largest RoW material reduction in the scenario set — larger, in absolute RoW terms, than any other production scenario. The mechanism is the competitive displacement of RoW metal production: as EU industry shifts to lower-input secondary metals, demand for RoW primary metal exports contracts, pulling down RoW extraction alongside EU extraction. The asymmetry is that RoW loses production and employment while EU macro-expands — a genuine welfare divergence mediated through the material trade channel.

Plastics and food scenarios: material leakage to RoW. Scenarios 4 (Gov Plastics) and 9 (Plastics Int) produce small positive RoW material effects (+0.01% mat), indicating partial production leakage: EU secondary plastics production has high import content, and the substitution generates demand for RoW

inputs that partially offsets domestic primary material savings. Similarly, Scenario 1 (Food/Meat) produces a marginal RoW material increase (+0.01%), reflecting the displacement of some meat processing toward imported food products. These are the only scenarios in the set where RoW total material use increases — a leakage pattern that limits the global material savings of these CE interventions.

Energy scenarios: RoW primary extraction contraction. Scenarios 2 and 13 produce RoW primary material extraction contractions ($Z2 \times_{mat} = -0.03\%$ and -0.05% LT respectively), driven by the collapse in EU fossil fuel imports. This is the only transmission channel where a large RoW material reduction accompanies a large EU ecological gain. However, this contraction falls asymmetrically on fossil-fuel-exporting economies: the RoW aggregate obscures that specific exporting countries face much larger contractions than the aggregate suggests, with associated employment and fiscal consequences.

Construction (Sc5, Sc14): RoW material savings despite EU emission rebound. Despite the emission and land rebound in the EU, both construction scenarios produce small RoW material use reductions ($Z2 \times_{mat} = -0.05\%$ in Sc5, -0.02% in Sc14) because renovation uses less imported primary construction material than new build. The cross-border material effect is therefore mildly positive globally even when the EU domestic ecological balance is mixed.

Ecological Pressure Divergence: Land and Water

A secondary but analytically important finding is that emissions, land use, and water use diverge across scenarios. The three pressure dimensions are driven by different sector-specific intensity coefficients:

Scenario 1 (Food/Meat): Emissions fall -0.42% but water use increases $+0.68\%$ EU — other food products (the secondary sector) are more water-intensive per unit of output than the primary meat sector. Land use falls only -0.12% , much less than emissions. Scenario 3 (Wood HH): Emissions are near zero but land use falls -0.36% — primary wood production is highly land-intensive; the circular shift releases land without changing fossil energy consumption.

Scenario 7 (Wood Int): The largest land saving in the entire scenario set (EU land = -2.30% LT) from a scenario with near-zero emission effect (-0.01%). The land–emission decoupling is strongest here: forest-sector restructuring delivers a land dividend that the emission indicator entirely misses.

Scenario 13 (Energy Int): Emissions fall -1.56% but land use increases $+0.16\%$ — renewable energy infrastructure requires more land per MWh than fossil plants. The energy scenario is simultaneously the best CE intervention for climate and the worst for land use.

Construction (Sc5, Sc14): Emissions rebound ($+5.19\%$, $+2.15\%$) but land and water improve (-0.33% , -0.05% in Sc5). The circular reallocation reduces primary material and land extraction while worsening the atmospheric footprint.

These divergences reinforce that no single ecological indicator is sufficient for CE policy evaluation. Wood-sector restructuring is primarily a land-use intervention; energy-sector restructuring is primarily a climate intervention; food-sector restructuring is primarily an atmospheric and land intervention that worsens freshwater pressure.

Conclusions

The findings of this paper challenge approaches that treat circularity as a purely national, regional or firm strategy. Policies aimed at greening production in advanced economies may improve some domestic indicators while worsening employment, external balances, or ecological pressures elsewhere (Hickel et al., 2022). Therefore, our analysis suggests that a just and effective transition cannot rely on private behavioural change or isolated technical measures alone. It requires coordinated public intervention that re-shapes production structures, considers macroeconomic and distributive trade-offs, and addresses the international asymmetries through which ecological costs are displaced (Campiglio et al., 2018; Volz et al., 2015). More specifically, our analysis suggests that policy design must be channel-specific and complementary, combining demand-side and production-side measures with macroeconomic and institutional coordination. Thus, the paper argues that the key policy divide is not only between linear and circular production, but also between fragmented and cooperative transition strategies, and between circular-economy policies implemented in isolation and those aligned with decarbonisation, macroeconomic stabilisation, and international policy coordination.

Four policy implications follow directly from the simulation evidence.

First, production restructuring requires macroeconomic stabilisation. Production scenarios consistently contract aggregate demand modestly, reduce wage shares, and expand profit shares. CE transitions in the production regime cannot be treated as costless structural adjustments — they require active macroeconomic management and labour market support.

Second, final-demand reallocation is primary for specific channels. For most material sectors where intermediate demand dominates (metals, wood, glass, cement), FD instruments engage structurally secondary channels and cannot substitute for A-matrix restructuring. However, for construction (investment-dominated), food (household-dominated), and plastics (government-procurement-dominated), FD instruments engage the primary demand channel directly and are first-order CE instruments in their own right.

Third, energy is the highest-leverage CE instrument, but land use is its shadow cost. Scenario 13 dominates all other production scenarios in both emission reduction (-1.56%) and primary material extraction reduction (-1.27%). However, renewable energy infrastructure requires substantially more land per unit of output than fossil plants, meaning that scaling this transition without land-use planning creates a new ecological trade-off that the emissions indicator does not capture.

Fourth, metals CE requires electricity decarbonisation as a complement, and its cross-border material dividend is real but regressive. Without simultaneous electricity decarbonisation, secondary metal production amplifies upstream emissions through the fossil energy link. With decarbonisation, Metals CE could simultaneously expand EU output, reduce global material throughput (including -0.15% in RoW), and reduce emissions — making it uniquely triple-positive. The current calibration shows only the first and second arm; the third requires a policy complement.